

EQUITY RESEARCH | REFRESH / RE-UNDERWRITE

American Express Company (AXP)

Premium franchise, resilient credit, and a materially improved valuation after the September rate shock

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RESEARCH CONCLUSION: CONSTRUCTIVE

Executive investment view

American Express remains one of the highest-quality consumer-finance franchises in the portfolio. The combination of affluent customer demographics, closed-loop economics, premium fee growth, disciplined underwriting and strong capital returns is still producing double-digit revenue and EPS growth. The September policy tightening and 5%+ long-end Treasury environment raise the discount-rate hurdle and increase the probability of eventual credit normalization, but the evidence does not yet show a deterioration in AXP's customer base.

At the September 25 close of **\$308.89**, the stock trades near **17.5x 2026 consensus EPS** and **15.3x 2027 consensus EPS**, well below Visa and materially below AXP's own 2025 valuation. A reliable third-party PEG estimate is approximately **1.28x**. The stock therefore looks substantially more attractive than it did at the prior underwriting, provided the next earnings release confirms that credit remains contained and premium-product economics are not being overwhelmed by benefit and acquisition costs.

Decision hinge

Can AXP sustain low-teens EPS growth with credit losses still near current levels while higher rates and richer premium-card benefits pressure funding and operating costs?

The answer is currently leaning yes, but the October 23 earnings release is the most important near-term confirmation point.

Proposed CIO review

Consider a staged-add review rather than an aggressive increase.

Research supports a constructive stance at current valuation, but the Portfolio CIO should decide whether incremental exposure is justified given already-elevated total financials exposure.

\$308.89

SEP. 25
CLOSE

15.3x

2027E P/E

1.28x

PEG RATIO

1.80%

PORTFOLIO
WEIGHT

36.4%

Q2
ANNUALIZED
ROE

1. What has changed since the previous underwriting?

Changed for the better

- **Valuation reset:** AXP closed at \$308.89 on September 25 versus \$312.43 on September 16, after touching \$301.96 on September 23. The stock is roughly 20% below its 52-week high of \$387.49.
- **Credit remains resilient:** August U.S. Consumer 30+ day delinquency stayed at 1.1% and Small Business delinquency improved to 1.3% from 1.4% in June. August principal-only net write-offs were 1.7% for Consumer and 2.2% for Small Business.
- **Consensus still supports growth:** 2026 EPS consensus is \$17.67 and 2027 is \$20.18, implying about 14% growth next year.

Changed for the worse

- **Fed policy tightened:** the FOMC raised the funds target to 3.75%-4.00% on September 16, increasing the risk of further consumer and small-business pressure if tightening persists.
- **Long rates remain restrictive:** the 10-year Treasury was roughly 5.06% on September 25, with the 20-year and 30-year above 5.4%. That raises valuation hurdles for all financial assets and can increase deposit competition.
- **Expense intensity is elevated:** Q2 expenses rose 12% as AXP spent more on rewards, services, Platinum benefits and operating costs. Future upside increasingly depends on those investments earning attractive incremental returns.

2. Business quality and competitive position

AXP's moat is unusually broad for a card issuer because it combines issuer economics, network economics, merchant relationships, data, premium brand and loyalty. Its closed-loop system provides richer transaction data than open-loop issuers and enables coordinated pricing, underwriting and rewards. The customer base skews toward affluent consumers and higher-quality small businesses, which historically supports better credit outcomes and more durable spend.

Premium Membership Model

Net card fees grew 15% year over year in Q2, reflecting strong acquisition, retention and product-refresh activity. Fee-paying products and premium benefits reduce dependence on pure revolving credit economics.

Younger cohort strength

Management continues to emphasize Millennials and Gen-Z as the largest and fastest-growing cohort. This matters because AXP is replacing older cardholders with customers who may have decades of lifetime value ahead.

International runway

International Card Services billed business grew 13% in Q2 (12% FX-adjusted), extending a long run of double-digit growth and providing a second engine beyond U.S. premium consumer.

3. Earnings and financial outlook

Metric	Q2 / 1H 2026	YoY	Research read-through
Total revenue net of interest expense	\$19.64B Q2 / \$38.54B 1H	+10% Q2 / +11% 1H	Healthy broad-based top-line growth; management raised FY revenue-growth guidance to 10%.
Diluted EPS	\$4.53 Q2 / \$8.81 1H	+11% / +14%	On track with FY guidance of \$17.30-\$17.90; consensus sits near the upper half at \$17.67.
Billed business	\$455.8B Q2	+9%	Spend growth accelerated to its best pace in roughly three years on an FX-adjusted basis.
Net card fees	\$2.86B Q2	+15%	High-quality recurring revenue; a core reason AXP deserves a premium to ordinary lenders.
Net interest income	~\$4.65B Q2	+11%	Balance growth plus yield expansion remain supportive, although higher deposit costs can narrow the benefit.
Provision for credit losses	\$1.1B Q2	down from \$1.4B	Current credit remains favorable; reserve release helped, so not all improvement is structural.
Total expenses	\$14.5B Q2	+12%	

Metric	Q2 / 1H 2026	YoY	Research read-through
			Primary earnings-quality watch item: benefits and engagement costs are rising faster than revenue.

Base earnings view: The market is expecting roughly \$17.67 of EPS in 2026 and \$20.18 in 2027. That forecast does not require heroic assumptions if revenue growth stays high-single to low-double digit, charge-offs remain near the current band, and ongoing buybacks continue to reduce diluted shares by about 2%-3% annually.

4. Credit quality: still the central risk, not yet the central problem

U.S. portfolio metric	Jun. 2026	Jul. 2026	Aug. 2026	Interpretation
Consumer 30+ day delinquency	1.1%	1.1%	1.1%	Stable and still consistent with high-quality underwriting.
Consumer principal-only NCO	1.4%*	1.7%	1.7%	August normalization is manageable; June benefited from a sale of previously written-off balances.
Small Business 30+ day delinquency	1.4%	1.3%	1.3%	Improving, despite higher rates.
Small Business principal-only NCO	2.3%*	2.6%	2.2%	Volatile month-to-month but no sustained deterioration signal.

* June write-off rates were reduced by the sale of certain previously written-off balances; AXP disclosed an approximate 0.3 percentage-point benefit to Consumer and 0.1 point to Small Business.

The stronger argument for AXP remains that its premium customer base and underwriting discipline should allow it to absorb a normal credit cycle better than subprime-heavy issuers. The contrary case is that the market is extrapolating today's unusually benign loss experience too far. If unemployment rises or the Fed must tighten further, charge-offs can move higher with a lag.

5. Management, capital allocation and balance-sheet quality

Capital strength

AXP's CET1 ratio was **10.4%** at June 30 versus a 7.0% effective minimum, while the Tier 1 leverage ratio was 9.6%. This provides a solid cushion and supports continued capital return.

Customer deposits were **\$157.0B**, up from \$152.5B at year-end 2025. The direct deposit franchise is strategically important because it diversifies funding beyond wholesale markets.

Shareholder returns

Diluted shares fell about **3% year over year** in Q2. The current dividend is approximately **\$3.80 per share**, a yield near 1.2%, while buybacks are the larger capital-return lever. This is attractive so long as repurchases are executed below reasonable intrinsic value.

Q2 annualized ROE was **36.4%**, highlighting the franchise's strong earnings power, although financial-company ROE should not be compared directly with asset-light network ROIC.

6. Industry and macro context

The macro environment is mixed for AXP. Higher short rates can support asset yields, but the September Fed hike also increases funding costs and raises the probability that consumer and small-business credit eventually normalize. Long Treasury yields near 5% are a separate valuation headwind because they raise the opportunity cost of owning equities.

AXP is better positioned than many lenders because its economics are not purely spread-driven: discount revenue, net card fees and premium membership monetization are large and growing. Conversely, Visa and Mastercard remain structurally less credit-sensitive because they do not carry the same loan book. That distinction explains why AXP deserves a lower multiple than the networks even when its near-term growth is similar.

7. Market expectations and valuation

Valuation item	AXP	Reference	Assessment
Current price	\$308.89	Sep. 25 close	Roughly 20% below 52-week high.
2026E EPS / P-E	\$17.67 / 17.5x	Consensus	Reasonable for mid-teens EPS growth.
2027E EPS / P-E	\$20.18 / 15.3x	Consensus	Attractive if credit stays controlled.
PEG ratio	1.28x	S&P Global-derived via StockAnalysis	Supports a fair-to-attractive growth-adjusted valuation.
Trailing P/E	18.6x-18.8x	Current	Below FY2025's roughly 23.8x.
P/FCF	~13.8x	Current	Useful cross-check, but bank/card FCF is less decision-useful than EPS, credit and capital ratios.
Visa forward P/E	~25.5x	Peer reference	AXP trades at a large discount reflecting credit and funding risk.

Interpretation: AXP no longer requires a premium multiple to deliver an acceptable return. If 2027 EPS lands near \$20 and the stock merely trades at 18x, value is around the mid-\$360s. The core valuation risk is not multiple compression alone; it is an earnings reset caused by rising credit costs and weaker discretionary spend.

8. Bull / base / bear scenarios

Bear case - 25%

\$255

2027 EPS ~\$18.20, 14x P/E. Consumer spending slows, credit costs normalize materially, and premium-card benefit costs pressure operating leverage.

Approx. downside:
-17%

Base case - 50%

\$363

2027 EPS ~\$20.18, 18x P/E. Revenue remains high-single digit, loss rates rise modestly but stay well controlled, and buybacks support per-share growth.

Approx. upside:
+18%

Bull case - 25%

\$452

2027 EPS ~\$21.50, 21x P/E. Premium product refreshes drive durable fee/spend acceleration, credit stays exceptional and the rate backdrop becomes less restrictive.

Approx. upside:
+46%

Probability-weighted scenario value: approximately **\$358**, or roughly 16% above the September 25 close. Scenario values are analytical sensitivities, not targets or guarantees.

9. Catalysts, risks and contrary evidence

Catalysts

- October 23 Q3 earnings confirm 10% revenue growth guidance and the \$17.30-\$17.90 EPS range.
- Continued mid-teens net card fee growth validates premium-product pricing power.
- Platinum refresh continues to accelerate spend while retention remains high.
- Millennial/Gen-Z acquisition translates into durable fee revenue and lifetime spend growth.
- Credit remains better than industry averages even as rates stay restrictive.

Risks / contrary case

- Higher rates eventually weaken premium consumer and small-business credit with a lag.
- Rewards, lounge, services and acquisition costs grow faster than monetization.
- Regulation caps card rates, fees or merchant economics.
- Merchant steering/surcharging reduces transaction share or discount economics.
- Visa/Mastercard plus bank issuers intensify premium-card competition, raising acquisition costs.
- Recession or geopolitical shock hits travel and entertainment spend disproportionately.

10. Company Quality, Valuation Attractiveness and Portfolio Fit

Company Quality: High

Integrated network, premium brand, strong customer cohorts, exceptional ROE, disciplined underwriting and diversified fee/spend/NII economics.

Valuation Attractiveness: Improved

15.3x 2027E EPS and PEG near 1.3x provide a more balanced risk/reward after the post-Fed pullback. Not distressed, but no longer demanding.

Portfolio Fit: Positive with constraint

AXP is only about 1.80% of the portfolio, but financials exposure is already elevated across JPM, GS, MA, V and AXP. Incremental AXP should be judged against sector concentration, not standalone size.

11. Portfolio position and capital-use analysis

Portfolio item	Value	Comment
Shares	100	Canonical workbook quantity.
Workbook market value	\$30,601	Based on workbook last price of \$306.01.
Portfolio weight	1.804%	Moderate standalone size.
Total cost basis	\$7,680	Average cost approximately \$76.80/share.
Approx. value at Sep. 25 close	\$30,889	Unrealized gain approximately \$23,209, or 302% versus cost basis.
Workbook fair value	\$341	Static user/workbook annotation; approximately 10% above Sep. 25 close and not a refreshed analyst target.

Capital-use conclusion: Existing AXP capital is still being used productively. The position is not large enough to create a standalone concentration issue, but the portfolio already has substantial financial exposure through JPM, GS, MA and V.

Therefore, the next dollar into AXP should compete against the user's broader opportunity set and should probably be staged around earnings/credit checkpoints rather than added solely because the stock is below its high.

12. Key checkpoints and thesis-break conditions

Upcoming checkpoints

- **October 23, 2026:** Q3 earnings; verify revenue, EPS guidance, spend growth, premium card fees and expense discipline.
- **Monthly:** U.S. Consumer and Small Business 30+ day delinquency and principal-only net write-offs.
- **Platinum economics:** retention after fee increases, spend acceleration and benefit utilization.
- **Funding:** deposit growth and deposit costs after the September Fed hike.
- **2027 consensus:** EPS revisions must remain around \$20 or better for the current valuation case to hold.

Explicit thesis-break conditions

- Consumer 30+ day delinquency sustains above roughly **1.6%-1.7%** and continues rising across multiple months without a macro recovery.
- Consumer principal-only net write-offs move sustainably above roughly **2.5%-3.0%** while spend growth simultaneously decelerates.
- Net card fee growth falls to mid-single digits without an intentional portfolio action or clear cyclical explanation.
- 2027 EPS consensus falls materially below **\$18.50** while valuation remains above roughly 17x forward earnings.
- Premium-card benefit and engagement costs remain structurally above revenue growth and erode pre-provision earnings power.
- Regulatory action materially impairs card pricing, merchant economics or interest-rate economics.

13. Research conclusion

AXP's underlying thesis remains intact and the security has become more attractive. The stock now offers a better balance of franchise quality, growth and valuation than at the prior underwriting. The most important new fact is not a fresh operating deterioration; it is the higher rate regime. Thus far, August credit data argue that AXP's customer quality is absorbing the pressure.

The current valuation offers a reasonable margin for a modest credit normalization, but not for a severe downturn. Research therefore supports a **constructive, staged-add posture for CIO review**, with the October earnings print and monthly credit statistics acting as gating checkpoints. The position should not be expanded without considering aggregate financials exposure.

14. Open questions requiring additional work

- How much of the 2026 revenue acceleration is driven by durable fee/spend economics versus unusually favorable interest-rate and reserve dynamics?
- What is the incremental return on the latest U.S. Platinum refresh after the higher annual fee and richer benefit package?
- How sensitive is 2027 EPS to a 50-100 bp increase in normalized net write-offs?
- What is the optimal financials-sector mix across AXP, JPM, GS, MA and V given the portfolio's higher current exposure?

Sources and evidence register

1. American Express Q2 2026 earnings release, July 24, 2026 - revenue, EPS, billed business, guidance, provisions and management commentary.
2. American Express Form 10-Q for quarter ended June 30, 2026 - segments, credit, capital, deposits, ROE and risk disclosures.
3. American Express September 15, 2026 Form 8-K - August U.S. Consumer and Small Business delinquency and net write-off statistics.
4. Federal Reserve FOMC statement, September 16, 2026 - target range increased to 3.75%-4.00%.
5. U.S. Treasury daily yield curve rates - September 25, 2026 yield backdrop.
6. StockAnalysis AXP consensus forecast - S&P Global Market Intelligence / TipRanks consensus EPS and price-target data, checked September 26, 2026.

7. StockAnalysis AXP valuation/statistics - market cap, forward P/E, PEG, 52-week range, next earnings date.
8. StockAnalysis AXP ratios - historical/current valuation cross-check.
9. StockAnalysis Visa ratios - peer forward P/E comparison.
10. **Portfolio source:** retirement-portfolio-52.xlsx, designated September 25, 2026 in the Portfolio Agent manifest, sole authority for quantity, cost basis, portfolio allocation and static workbook fair value.

Evidence confidence: High for company-reported financials, credit and portfolio data; Moderate-High for consensus/valuation data sourced from S&P Global-derived public aggregators. Underwriting status: completed refresh/re-underwrite. Major uncertainty: path of Fed policy, consumer credit normalization and the return on premium-card benefit investment. This research is decision support, not an automatic Portfolio CIO action. Creating this report does not publish it to the Portfolio Command Center.